

Hong Kong Track | Technology Sector

AI Value Chain

Pairs Trade Strategy

Long Innolight (300308.SZ) | Short Inspur (000977.SZ)

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Expected Graduation

June 2028

AI Value Chain
Pairs Trade

LONG 300308.SZ | SHORT 000977.SZ

BETA NEUTRAL

Date: April 2026

Three Structural Divergences,
One Asymmetric Alpha Opportunity

Key Metrics (2025)	Innolight	Inspur
Revenue (Bn yuan)	38.24	164.78
Net Profit (Bn yuan)	10.80	2.41
Gross Margin	42.0%	4.9%
Overseas Rev. %	90.6%	29.7%
12M Target Price	1150 (+30%)	38.5 (-48.5%)
Standalone Upside/Downside	+30%	-48.5%
Pair Portfolio Return	+75.9%	

Based on 2024-2025 annual reports. For academic research only.

Not investment advice. Past performance ≠ future results.

Executive Summary: Three Structural Divergences Create an Asymmetric Alpha Opportunity in China's Tech Going Global

CORE THESIS

AI value chain value allocation is **reconstructing**. Innolight (optical transceiver leader) captures profits via technology moat and high-quality globalization; Inspur (server integrator) is trapped in a structurally low-margin "sandwich" position with 46.5bn inventory risk.

PAIR COMBO EXPECTED RETURN (BASE CASE)

+75.9%

Bull: +48.3% | Bear: +110.2%
Beta-neutral: Long 1 : Short 2.59

Three Structural Divergences:

- 1. **Value chain positioning** — "essential bottleneck" vs. "assembly squeeze"
- 2. **Globalization quality** — 90.6% overseas revenue with premium margins vs. 29.7% with thin margins
- 3. **Asset quality** — OCF matching net profit vs. 46.5bn inventory (55.5% of assets)

Parameter	Market Cap (Bn)	Beta	2025 Revenue (Bn)	2025 Net Profit (Bn)	Gross Margin	Overseas Rev. %
Innolight (Long)	987.8	1.06	38.24	10.80	42.0%	90.6%
Inspur (Short)	109.92	0.41	164.78	2.41	4.9%	29.7%
Divergence	—	—	Inspur larger	Innolight 4.5x	Gap 37.1ppts	Gap 60.9ppts
12M Target	—	—	—	—	1150 yuan (+30%)	38.5 (-48.5%)

Investment Thesis: Value Chain Position Determines Profit Capture – Optical Bottleneck vs. Assembly Squeeze

LONG THESIS — INNOLIGHT: THE "SELLER OF SHOVELS"

Position: L1/L2 of AI value chain. 800G/1.6T optical modules are **physical-layer bottleneck** for GPU cluster interconnect.

Market position: Global #1 optical transceiver share (Lightcounting 2024). 1.6T shipping in volume, 3.2T in R&D.

Pricing power: GM 42.0% (+7.7ppts YoY). Each generation upgrade = price increase.

Supply chain security: Singapore/Thailand production hedges geopolitical risk.

Revenue +60.3% | Net Profit +108.8% | GM 42.0%
OCF 10.90Bn = 100.9% of net profit | Overseas 90.6%

SHORT THESIS — INSPUR: THE "SANDWICH LAYER"

Position: Mid-stream integrator squeezed between **NVIDIA (GPUs)** and **cloud giants**.

Structural trap: Server assembly is commoditized. GM only 4.9% (-1.9ppts YoY), net margin 1.5%.

Profitless Growth: Revenue +43.6% but net profit only +5.2% — textbook growth trap.

Supply chain fragility: Core GPU chips import-dependent. #1 customer 39.37%, #1 supplier 33.14%.

Revenue +43.6% | Net Profit only +5.2% | GM 4.9%
Inventory 46.5Bn = 55.5% of assets | Overseas only 29.7%

KEY DIFFERENTIATION FACTORS

- 1

Technology Barrier

Optical: high cert threshold

Server: commoditized assembly
- 2

Pricing Power

Innolight: price rises per gen

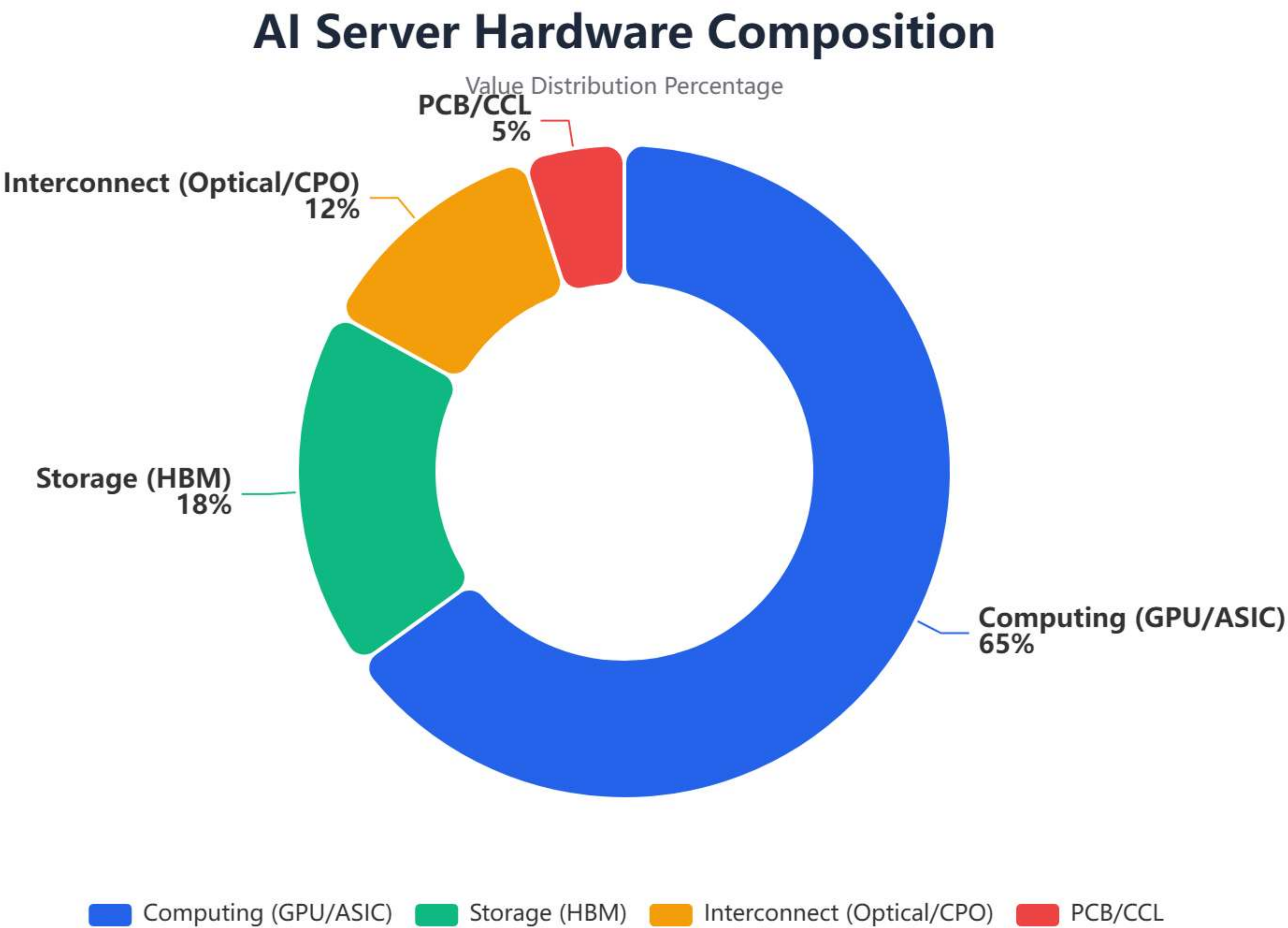
Inspur: continuous price pressure
- 3

Supply Chain Security

Innolight: overseas production

Inspur: import-dependent GPUs

Structural Divergence: The "Compute Core" vs. the "System Integration" Trap in AI Hardware



"Interconnect (12%) is the High-Margin Bottleneck" — Optical premium

THE "SELLER OF SHOVELS" — INNOLIGHT

Innolight is embedded in the **indispensable network interconnect layer**. As token usage explodes, optical modules upgrade from 800G → 1.6T → 3.2T.

Supply-demand imbalance grants Innolight **exceptional pricing power**. Each generation commands higher ASPs while costs scale moderately.

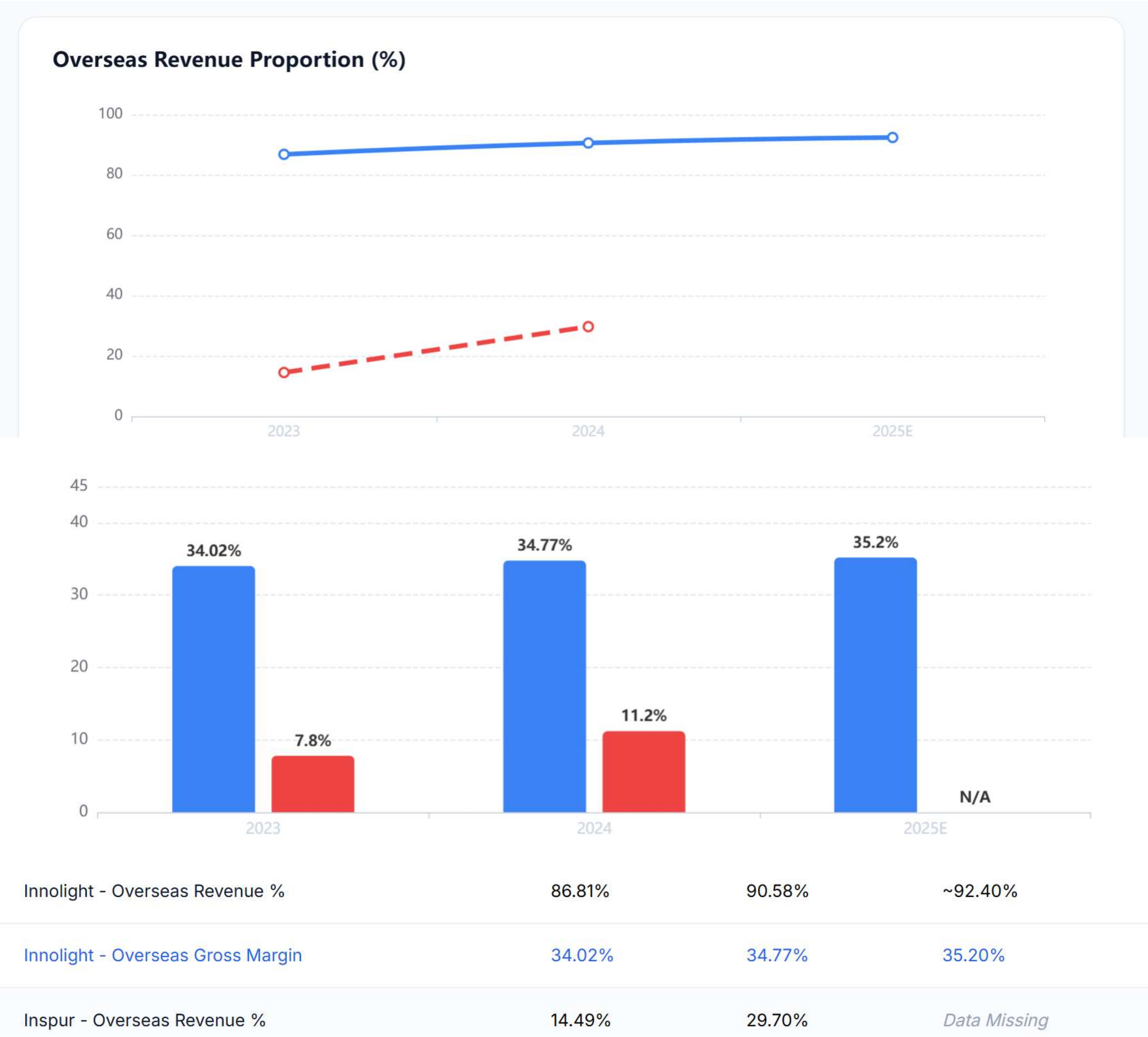
THE "ASSEMBLY SQUEEZE" — INSPUR

Server industry is "high-turnover, low-margin." Inspur's costs are entirely dependent on **upstream chip supply** (NVIDIA monopoly).

Profits squeezed by both NVIDIA and domestic cloud giants. Facing intense **domestic competition** with minimal differentiation — a race to the bottom.

Key Insight: In AI servers, Computing (65%) is monopolized by NVIDIA; server vendors become "OEMs." Interconnect (12%) is the tech-essential, premium-priced bottleneck.

Going Global: High-Quality Technology-Driven Growth vs. Tactical Pressure-Driven Expansion



CHINA+1 RESILIENCE — INNOLIGHT

Strategic production in Thailand and Singapore bypasses geopolitical barriers. Overseas factories are core nodes of the global supply chain.

Ensures delivery stability amid 2025 tariff volatility. Directly embedded in Microsoft/Google/Amazon/Meta CSP supply chains.

2025: ADIA and Temasek became strategic investors — international governance upgrade.

THE GEOPOLITICAL TRAP — INSPUR

Core GPU chips restricted by export controls. Overseas expansion relies on re-export rather than direct brand presence.

46.5Bn inventory is a **passive response** to supply chain uncertainty — hoarding chips to avoid disruption.

Tariff exemption volatility creates severe uncertainty for import-dependent business model.

"InnoLight is a technology-driven global player with premium overseas margins; Inspur is a domestic-focused integrator facing external trade headwinds."

Source: Company 2024-2025 Annual Reports. Overseas gross margin and revenue proportion from annual report segment disclosures.

Innolight (300308.SZ): The "Profit Capturer" in AI Networking – Technology Moat + Global Expansion

FUNDAMENTAL HIGHLIGHTS

Global market leadership: #1 optical transceiver market share worldwide (Lightcounting 2024)

Product cycle leadership: 1.6T shipping in volume, 3.2T at R&D frontier

Technology pre-positioning: Silicon photonics + CPO ecosystem readiness

Supply chain resilience: Singapore/Thailand production for China+1 hedge

Strategic investors: ADIA (Abu Dhabi) and Temasek in 2025 — governance upgrade

CSP direct integration: Microsoft, Google, Amazon, Meta supply chain direct

KEY FINANCIALS (2024-2025)

Metric	2024	2025	YoY Change
Revenue (Bn yuan)	23.86	38.24	+60.3%
Net Profit (Bn yuan)	5.17	10.80	+108.8%
Gross Margin	34.3%	42.0%	+7.7ppts
Net Margin	21.7%	28.2%	+6.5ppts
ROE	27.2%	34.2%	+7.0ppts
OCF (Bn yuan)	3.17	10.90	+244.4%
Overseas Rev. %	87.0%	90.6%	+3.6ppts

OVERSEAS QUALITY: HIGH-MARGIN GLOBALIZATION

34.64 Bn yuan

2025 Overseas Revenue (90.58% of total)

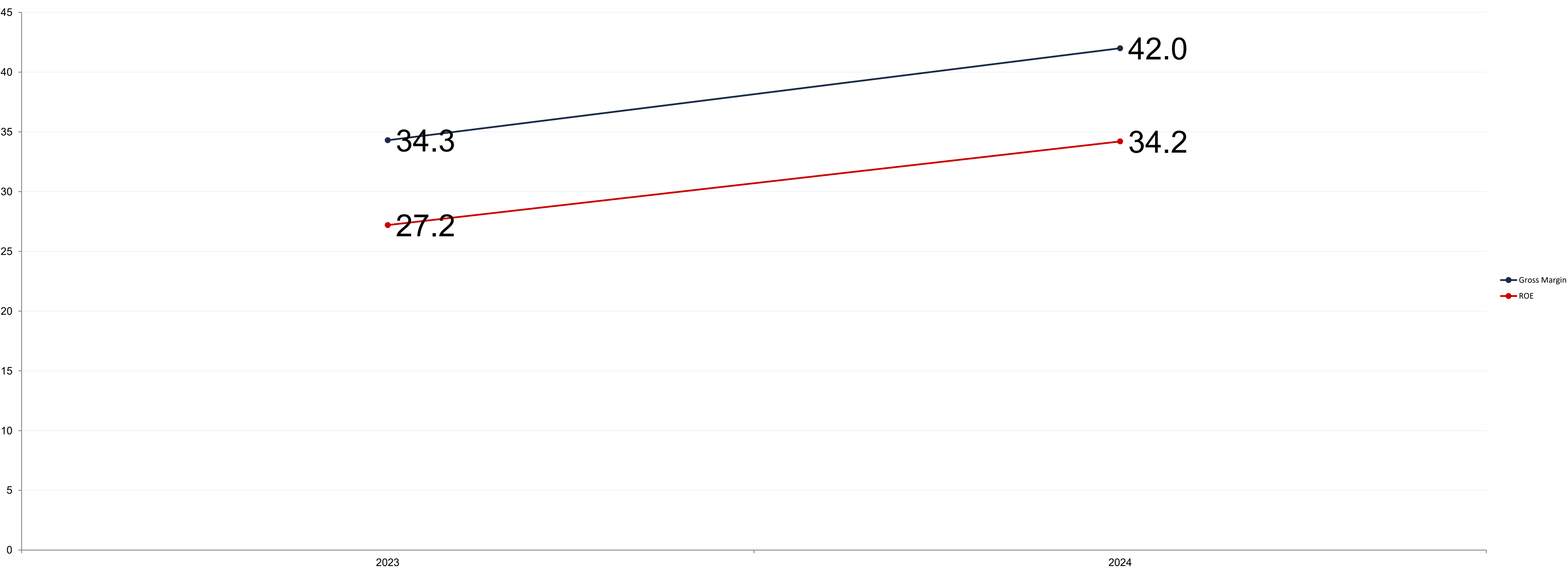
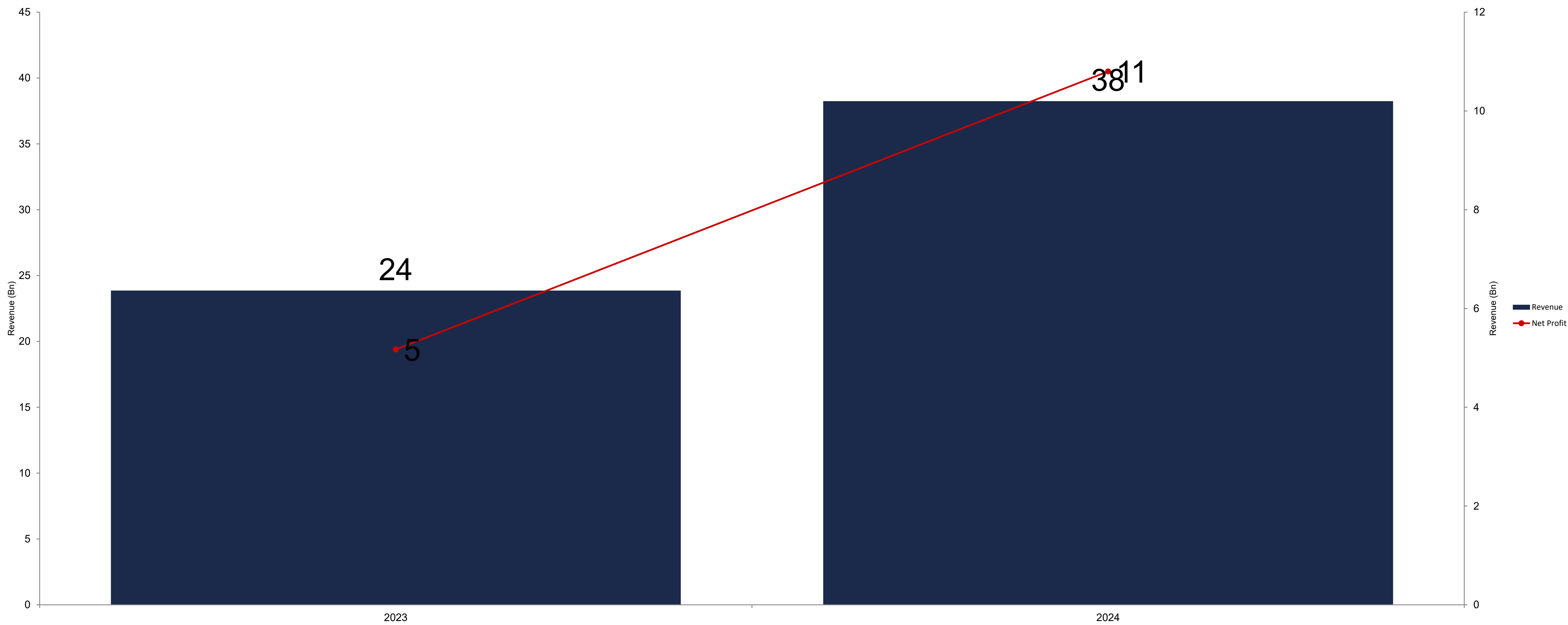
34.8% → 35.2%

Overseas Gross Margin Trend (Stable Premium)

Top 4 CSPs

MSFT / GOOGL / AMZN / META Direct Supply

Innolight Financial Deep Dive: Operating Cash Flow Validates Earnings Quality at 100.9% Conversion



CASH FLOW QUALITY

100.9%

OCF 10.90Bn vs.
Net Profit 10.80Bn
"Cash is the truth"

BALANCE SHEET STRENGTH

- Debt/Asset ratio: only 30.2% (-3.5ppts YoY)
- Abundant cash and trading financial assets
- Strict AR and inventory management
- Working capital efficiency: industry-leading

QUALITY FACTOR SCORING

Quality Factor	Score	Assessment
Profitability (GM/ROE)	95/100	Exceptional profit capture
Growth Quality	90/100	Profit >> revenue growth
Cash Creation	95/100	OCF fully backs earnings
Balance Sheet	90/100	Low leverage, high liquidity
Supply Chain/Global	95/100	China+1 resilient, CSP direct

Inspur (000977.SZ): The "Sandwich Layer" – Squeezed Between NVIDIA Monopoly and Cloud Giants

FUNDAMENTAL RISKS

- Commoditized assembly:** Server integration lacks differentiation — pure hardware assembly with minimal value add
- Double squeeze:** NVIDIA captures GPU profits upstream; Alibaba/Tencent/Baidu squeeze prices downstream
- Extreme concentration:** #1 customer = 39.37% of revenue; #1 supplier (NVIDIA) = 33.14%
- Domestic price war:** Intense competition with H3C, Huawei, Sugon — race to bottom
- Razor-thin margins:** Net margin 1.5% — any shock wipes out entire profit
- Profitless Growth:** +43.6% revenue growth but only +5.2% net profit growth

KEY FINANCIALS (2024-2025)

Metric	2024	2025	YoY Change
Revenue (Bn yuan)	114.77	164.78	+43.6%
Net Profit (Bn yuan)	2.29	2.41	+5.2%
Gross Margin	6.8%	4.9%	-1.9ppts
Net Margin	2.0%	1.5%	-0.5ppts
ROE	12.1%	10.9%	-1.2ppts
Inventory/Assets	57.1%	55.5%	-1.6ppts
Overseas Rev. %	29.7%	29.7%	Flat

OVERSEAS EXPANSION: TACTICAL, NOT STRATEGIC

- Overseas revenue grew **256.98%** to 34.08Bn yuan — but mainly **re-export**, not direct brand expansion
- Overseas GM only **7.8-11.2%** vs. Innolight's 34%+ — thin-margin, low-quality growth
- Core GPU chips import-restricted; cannot build genuine global brand
- Customer concentration overseas remains high — vulnerable to single-client loss

CONCENTRATION RISK EXPOSURE

Top-5 customers: **71.29%** of revenue
Top-5 suppliers: **74.01%** of procurement
#1 supplier (NVIDIA): **33.14%** — "chokepoint"
Weak bargaining power on BOTH sides

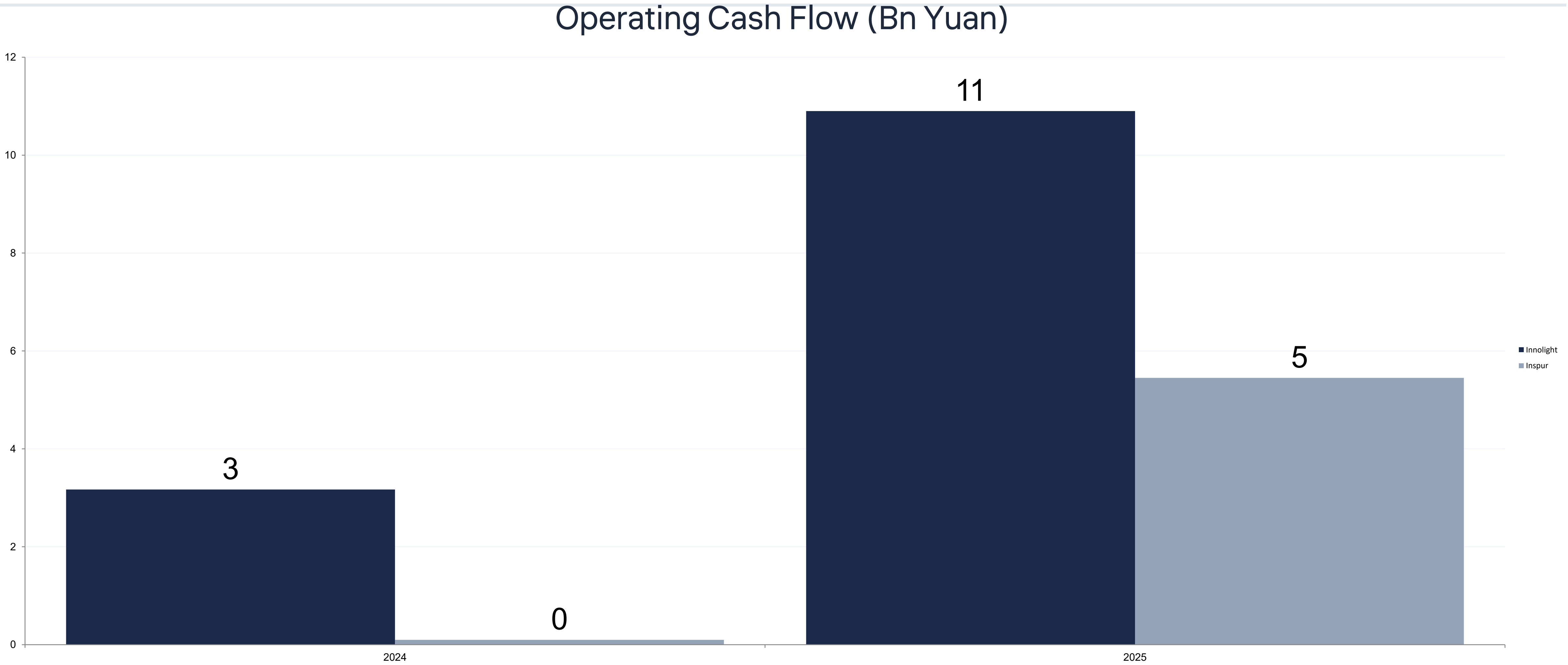
Inspur's 46.5Bn Yuan Inventory Is the Achilles' Heel – A Single Write-Down Erases Full-Year Profit

INVENTORY RISK TRACKING (2023-2025)

Metric	2023	2024	2025	2Y Change
Inventory (Bn yuan)	19.12	40.63	46.51	+143%
Inventory/Assets	39.72%	57.08%	55.50%	+15.8ppts
Turnover Days (est.)	~45 days	~95 days	~120 days	Severe
OCF (Bn yuan)	0.52	0.10	5.45	Volatile

RISK TRANSMISSION MECHANISM

- 1. **Trigger:** GPU iteration (H100→B100→B200) accelerates, legacy demand drops
- 2. **Pile-up:** 46.5Bn inventory has prior-gen GPU server components facing obsolescence
- 3. **Impairment:** At 5-10% write-down = 2.33-4.65Bn yuan loss
- 4. **Profit impact:** 2025 net profit only 2.41Bn — single event erases **entire year**
- 5. **Cash flow:** Write-down + delayed collections = further OCF pressure

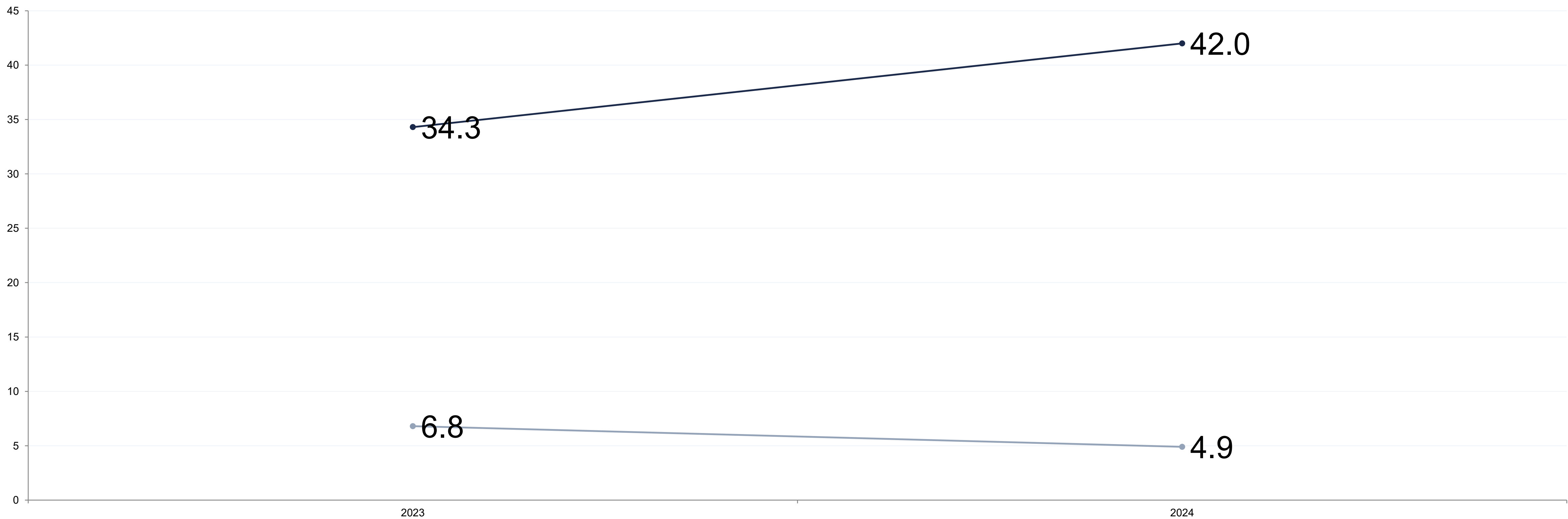


IMPAIRMENT QUANTIFICATION

5% impairment = 2.33Bn loss = **97%** of annual profit
10% impairment = 4.65Bn loss = **193%** of annual profit
"Inventory is Inspur's Achilles' heel — the Short thesis detonator"

Comparative Analysis: Gross Margin Gap Widens to 37.1 Percentage Points, Confirming Value Chain Divergence

Metric	Innolight 2024	Innolight 2025	Inspur 2024	Inspur 2025	Divergence	Direction
Revenue (Bn)	23.86	38.24	114.77	164.78	Inspur larger	—
Net Profit (Bn)	5.17	10.80	2.29	2.41	Innolight 4.5x	Widening
Gross Margin	34.3%	42.0%	6.8%	4.9%	Gap 37.1ppts	Widening
Net Margin	21.7%	28.2%	2.0%	1.5%	Gap 26.7ppts	Widening
ROE	27.2%	34.2%	12.1%	10.9%	Gap 23.3ppts	Widening
OCF (Bn)	3.17	10.90	0.10	5.45	Innolight stable	—
Inventory/Assets	~25%	~25%	57.1%	55.5%	Gap 30+ppts	Critical
Overseas Rev. %	87.0%	90.6%	29.7%	29.7%	Gap 60.9ppts	Widening
Top-5 Customer %	~43%	~43%	74.1%	71.3%	Gap 28ppts	—



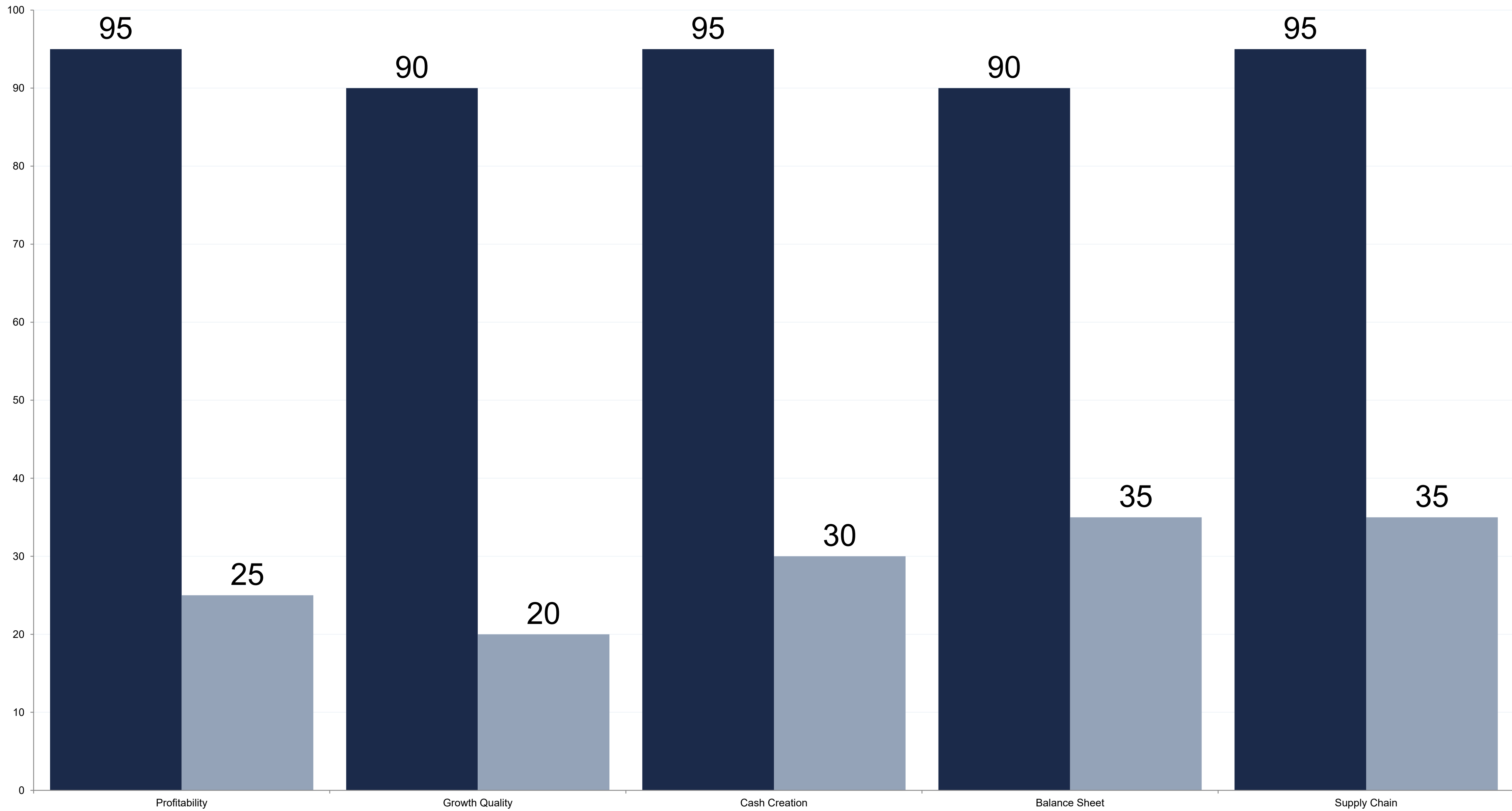
KEY INSIGHT

Every profitability metric shows a **widening divergence** favoring Innolight:

- GM gap: 27.5ppts → **37.1ppts**
- Net margin gap: 19.7ppts → **26.7ppts**
- ROE gap: 15.1ppts → **23.3ppts**

The market has not fully priced this **structural asymmetry**.

Quality Factor Scoring Validates the 63.5-Point Divergence – Innolight Leads in All Five Dimensions



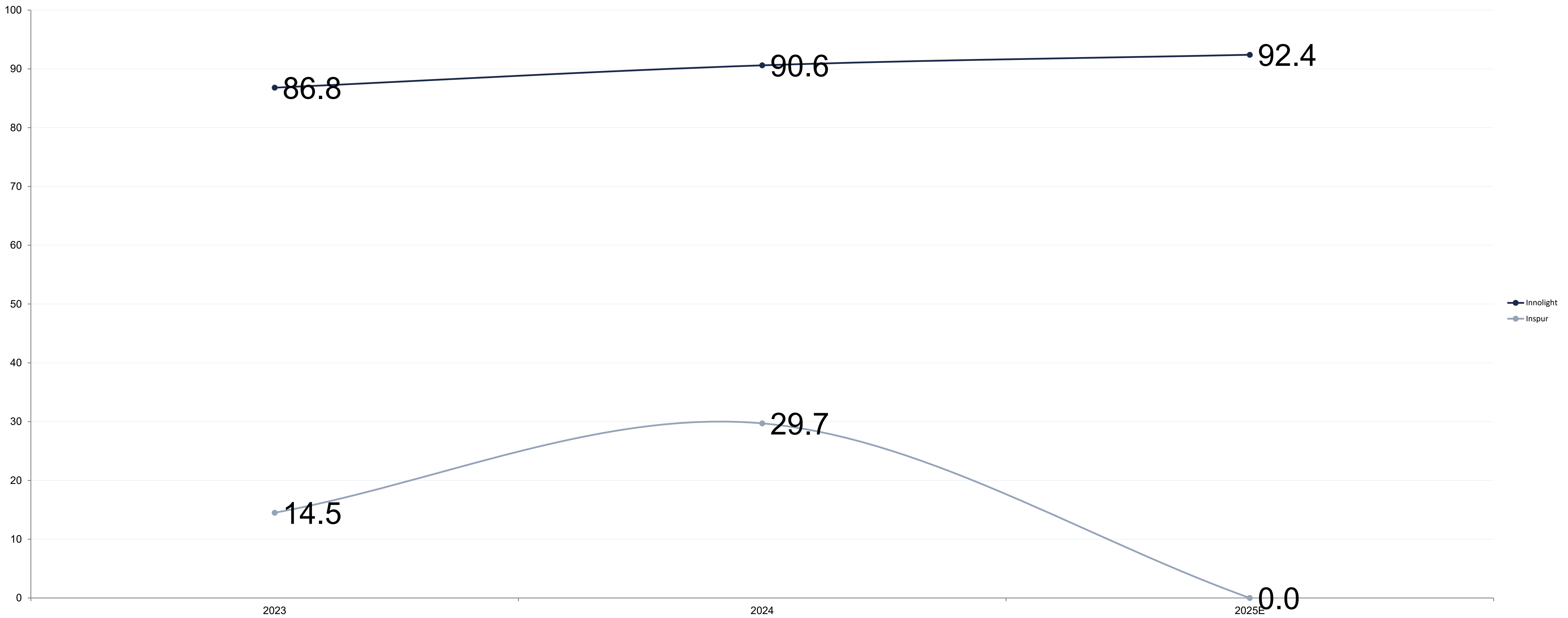
Innolight Composite

92.5 / 100

63.5
POINT GAP

Inspur Composite

29.0 / 100



CUSTOMER & SUPPLIER CONCENTRATION (2025)

Concentration Metric	Innolight	Inspur
Top-5 Customers	~43%	71.29%
Top-5 Suppliers	N/A	74.01%
#1 Supplier Share	N/A	33.14% (NVIDIA)

Innolight PEG Analysis: Even Bear-Case PEG of 0.47 Signals Significant Undervaluation vs. Growth

METHODOLOGY: PEG (PRICE/EARNINGS-TO-GROWTH)

For high-growth phase. Forward PE with leader premium. PEG < 1.0 indicates stock has not fully discounted growth potential. Current market cap ~950-1,000Bn yuan.

CORE ASSUMPTIONS

- 2025 Net Profit: **10.80Bn** (announced)
- 2026E Growth: **40-50%** (1.6T ramp + CSP capex)
- 2027E Growth: **30-35%** (natural deceleration)
- Market cap: ~950-1,000Bn yuan (Apr 2026)

WEIGHTED TARGET PRICE (12M)

1150 yuan

+30%

Base 50% / Bull 30%
/ Bear 20%

PEG SENSITIVITY ANALYSIS

Scenario	2026E NP	2027E NP	2Y CAGR	Impl. PE	PEG
Bull	16.2Bn	21.6Bn	41.3%	11.1x	0.27
Base	15.1Bn	19.7Bn	35.2%	11.9x	0.34
Bear	14.0Bn	17.5Bn	27.3%	12.9x	0.47
Threshold	—	—	—	—	1.0 = Fair

VALUATION CONCLUSION

Even in **bear case**, PEG = **0.47**, far below 1.0 fair threshold. Stock has not fully reflected 2-3 year growth potential.

Market is gradually recognizing optical modules' "essential bottleneck" value — **leader premium not yet fully formed.**

Inspur PS Analysis: Every Yuan of Revenue Is Losing "Gold Content" – Fair PS Is 0.25–0.35x

METHODOLOGY: P/S (PRICE-TO-SALES)

PE is unstable due to extremely low and volatile margins. PS better reflects "gold content" erosion per revenue yuan. Current market cap ~100-110Bn yuan.

CORE ASSUMPTIONS

- 2025 Revenue: **164.78Bn** (announced)
- 2026E Growth: **20-30%**
- Net margin trend: **1.0-1.5%** (continuously pressured)
- Inventory risk: 46.5Bn = 55.5% of total assets

WEIGHTED TARGET PRICE (12M)

38.5 yuan

-48.5%

WACC COMPARISON

WACC Parameter	Innolight	Inspur
Beta / Debt %	1.2 / 25%	1.4 / 35%
WACC	8.2%	8.9%

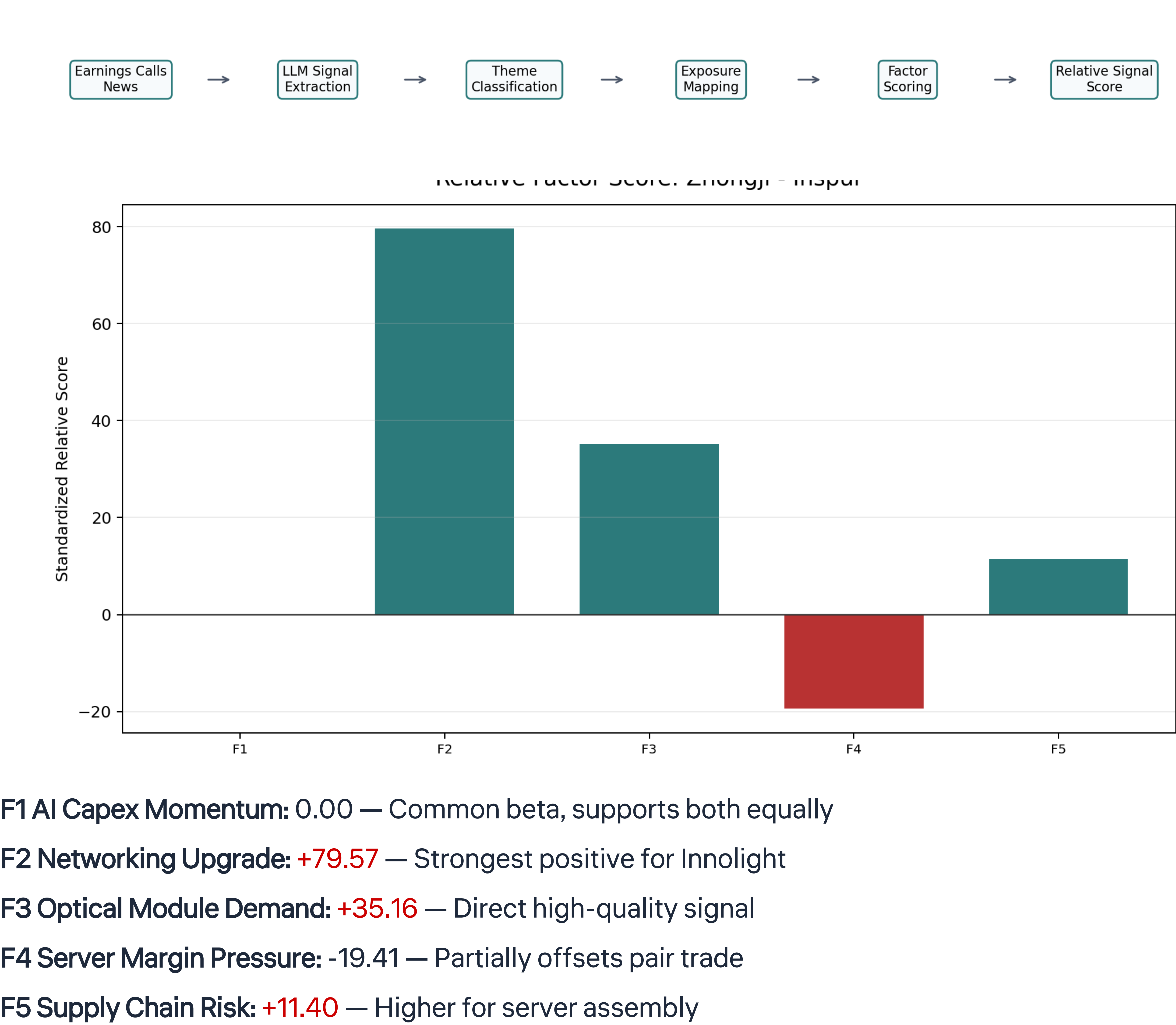
PS SENSITIVITY ANALYSIS

Scenario	2026E Rev	Target PS	Net Margin	Impl. PE	Assessment
Bull	214.2Bn	0.35x	1.5%	24.8x	Neutral
Base	197.7Bn	0.28x	1.2%	30.8x	Overvalued
Bear	181.3Bn	0.20x	0.8%	43.9x	Significantly overvalued
Fair range	—	0.25-0.35x	—	—	—

INVENTORY IMPAIRMENT STRESS TEST

- 5% write-down = 2.33Bn loss = **97%** of annual profit
- 10% write-down = 4.65Bn loss = **193%** of annual profit
- Market underestimates impairment probability and magnitude

AI-Assisted LLM Signal Extraction: Relative Score of +106.73 Validates the Long/Short Thesis



FINAL RELATIVE SIGNAL SCORE

+106.73

In favor of Innolight
Long-supportive signal

CORE INTERPRETATION

AI infrastructure evidence is more strongly linked to **high-speed optical modules and AI networking** than to server assembly quality.

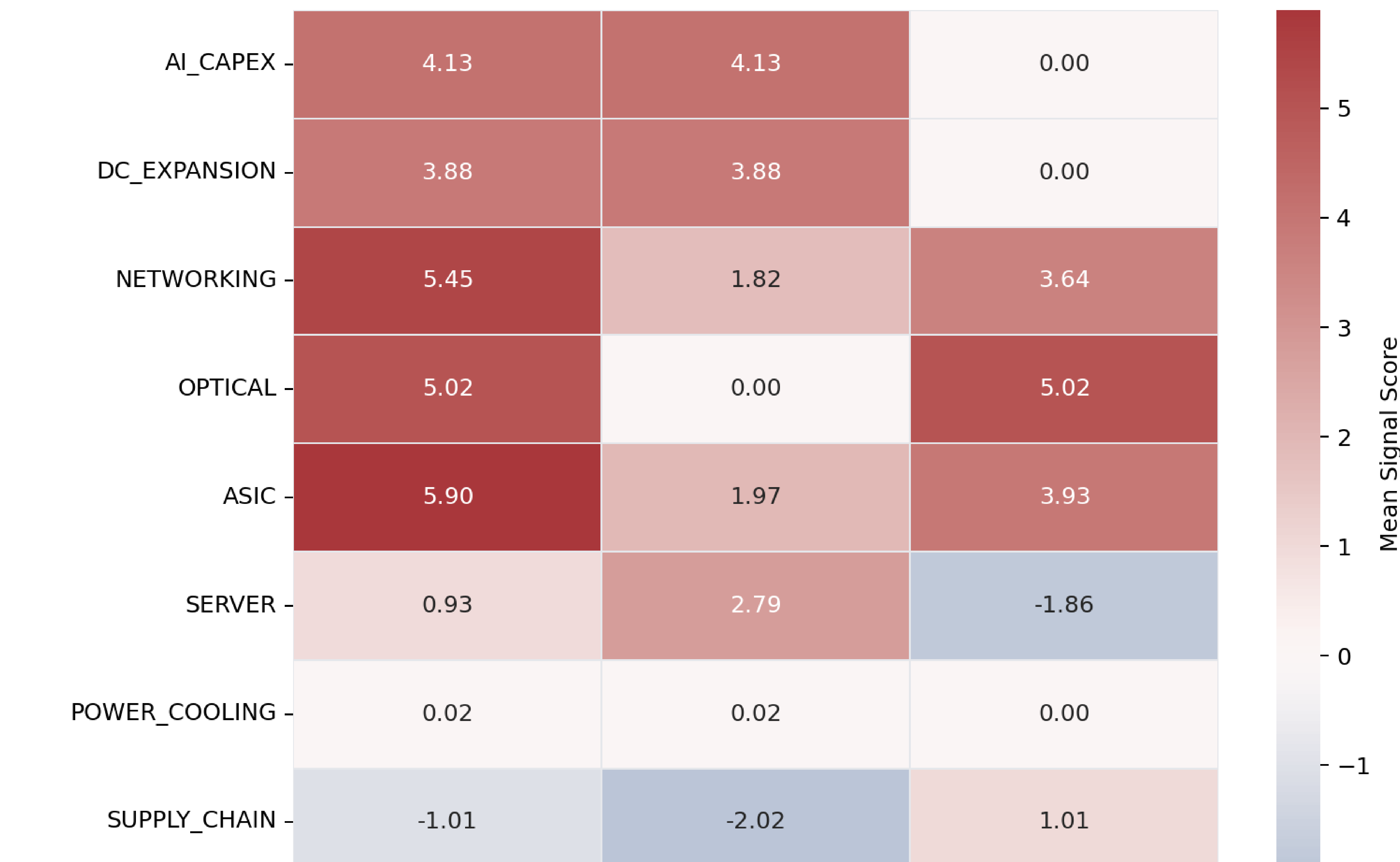
Hyperscaler AI spending is clearly rising, but the incremental signal is **not evenly distributed** across the value chain.

Large AI clusters require faster scale-out networking, higher bandwidth interconnects, 800G/1.6T transceivers — these map **directly to Innolight**.

Key Insight: AI capex alone is NOT enough — it benefits both. The pair trade requires evidence that AI dollars flow to optical networking MORE than to server assembly. That evidence exists.

"AI Capex is a pie, and LLM signals prove Networking is eating the Servers slice."

Evidence Heatmap Confirms Networking/Optical Superiority – Server Signals Are Negative for the Pair



Highest signals for Innolight:

- ASIC: 5.90 | NETWORKING: 5.45 | OPTICAL: 5.02

Negative for Inspur:

- SUPPLY_CHAIN: -2.02 (Inspur) vs. -1.01 (Innolight)
- SERVER (relative): -1.86

Top Relative Evidence			
	Theme	Rel.	Evidence
	OPTICAL	6.48	NVIDIA introduced co-packaged optics switches for AI factories at million-GPU scale.
	OPTICAL	6.34	Spectrum-X Ethernet Photonics uses co-packaged silicon photonic engines.
	OPTICAL	6.26	Lumentum demonstrated a 1.6T DR8 OSFP transceiver for hyperscale cloud and AI applications i
	OPTICAL	6.19	Applied Optoelectronics announced a volume order for 800G single-mode data center transceiver
	OPTICAL	6.05	Coherent demonstrated a 1.6T-SR8 optical transceiver for data center use.
	ASIC	5.70	Trainium2, it's really doing well. It's fully subscribed on Trainium2. We have -- it's a multibillion-d
	NETWORKING	5.70	networking more than doubled given the onset of NVLink scale up and robust double-digit growt
	NETWORKING	5.70	Our networking business purpose built for AI, and now the largest in the world. Generated reven

TOP RELATIVE EVIDENCE

1. NVIDIA CPO switches for AI factories at million-GPU scale (Rel. 6.48)
2. Spectrum-X Ethernet Photonics with silicon photonic engines (6.34)
3. Lumentum 1.6T DR8 OSFP for hyperscale AI (6.26)
4. Amazon Trainium2 large-scale deployment (5.70)
5. NVIDIA networking doubled on NVLink scale-up (5.70)

All signals map to optical/networking – NONE favor server assembly differentiation.

Conclusion: AI clusters become increasingly network-intensive – structurally favorable for optical-module suppliers.

What If You Are Wrong? Bidirectional Risk Assessment with Mitigation Strategies

LONG INNOLIGHT — RISK MATRIX			
Risk	Level	Description	Mitigation
Valuation pullback	HIGH	PE 90x at historical high; AI correction compresses 30-50%	Phased entry; -15% hard stop-loss
Growth deceleration	MED-HI	2025 +109%, 2026E may fall to 35-55%	Track quarterly; reduce if <30%
Tech route risk	MED	CPO/LPO may disrupt pluggable modules	Track OFC conference tech updates
Geopolitical	MED	China-US tension affects Thai/SG capacity	Partially hedged by offshore production

SHORT INSPUR — RISK MATRIX			
Risk	Level	Description	Mitigation
Policy stimulus	HIGH	New computing infrastructure policy boosts Inspur	Short <30% portfolio; -20% stop
Squeeze risk	HIGH	Overheated AI sentiment = universal rally	Avoid heavy short in high-emotion periods
Domestic substitution	MED-HI	Huawei Ascend/HAIGUANG may improve margins	Track domestic GPU ramp pace
Inventory liquidation	MED	Hot AI demand clears 46.5Bn inventory fast	Track monthly shipment data

PAIR HEDGE MECHANISM

Industry Beta Hedge AI sector volatility partially offset by Long/Short structure Beta-neutral: 1.06 vs. 0.41
--

Sentiment Hedge AI correction partially offset — both directions buffered Reduces drawdown amplitude

Style Factor Hedge Growth/value rotation impact reduced Captures pure alpha, not beta
--

Residual risk: Individual stock-specific risk cannot be fully hedged (e.g., company-specific events, accounting issues). Position sizing and stop-loss are essential.

Catalyst Timeline: 11 Key Events Over the Next 6-12 Months to Validate or Invalidate the Thesis

Time	Catalyst Event	Impact On	Dir.	Importance	Thesis Validation
2026 May	Global CSP Q1 earnings — capex guidance	Innolight	POS	★★★★★	CSP capex >20% growth validates 1.6T demand
May-Jun	Innolight Q1 — 1.6T shipment validation	Innolight	POS	★★★★★	1.6T >40% of revenue confirms upgrade cycle
2026 Jun	Taipei Computex — NVIDIA CEO keynote	Both	NEU	★★★★★	New product roadmap affects both positions
Jul-Aug	Interim reports — Inspur inventory turnover	Inspur	NEG	★★★★★	Inventory days >120 confirms impairment risk
2026 Aug	US Commerce export control update	Inspur	NEG	★★★★★	Tighter controls = higher supply chain risk
2026 Sep	European ECOC — 1.6T/3.2T progress	Innolight	POS	★★★★★	3.2T prototype confirms tech leadership
2026 Oct	China Computing Conference — policy signals	Both	NEU	★★★★★	Domestic stimulus policy affects Inspur short
2026 Nov	NVIDIA Q3 — datacenter revenue guidance	Both	NEU	★★★★★	AI demand trend affects both directions
Jan-Feb	Annual report pre-announcement window	Inspur	NEG	★★★★★	Inventory impairment exposure = short catalyst
2027 Mar	OFC 2027 — CPO tech roadmap clarity	Innolight	POS	★★★★★	CPO timeline affects long-term moat
2027 Apr	2026 Annual reports — full-year validation	Both	NEU	★★★★★	Final thesis validation or invalidation

Source: Author's catalyst calendar based on historical event schedules and company disclosure timelines.

Three-Stage Framework: Build at 50% → Validate at 100% → Harvest Before Q1 2027 Earnings

Stage	Time Window	Position Size	Key Actions	Decision Triggers
BUILD	Now — Jun 2026	50% target	Buy Innolight on 5-8% pullbacks; Short Inspur at 78-80 yuan rebound	Entry price-driven, not time-driven
VALIDATE	Jul — Oct 2026	70-100% target	Add Long if GM improves; Add Short if inventory/assets >60%	Data-dependent scaling
HARVEST	Nov 2026 — Apr 2027	Reduce to 0%	Close 80% before Q1 2027 earnings; Full exit by annual report	Profit-taking ahead of event risk

BETA-NEUTRAL PAIR RATIO

Innolight Beta: 1.06 | Inspur Beta: 0.41

Pair Ratio: 1 : 2.59

For every 1 yuan Long Innolight → Short 2.59 yuan Inspur

STOP-LOSS DISCIPLINE

Long stop: -15% hard stop

Short stop: -20% hard stop (asymmetric)

Portfolio: -10% reduce | -15% full close

EXPECTED RETURNS (PER 100M LONG)

Bull: +48.3M (48.3% return)

Base: +75.9M (75.9% return)

Bear: +110.2M (110.2% return)

MONITORING KPIs (MONTHLY)

- Innolight gross margin: If 2 consecutive quarters decline >3ppts → reduce Long
- Inspur inventory/asset ratio: If >60% → add Short
- Inspur OCF: If 2 consecutive quarters negative → add Short
- Innolight 1.6T shipment %: If >40% of revenue → confirm growth thesis
- Global CSP capex: If 4-cloud combined growth <20% → alert demand inflection

Source: Author's position management framework. Returns based on beta-neutral pair ratio calculation.

Conclusion: Capture Structural Alpha by Betting on WHERE the AI Dollar Flows, Not Just THAT It Flows

CORE LOGIC RECAP — THREE PILLARS

1 VALUE CHAIN POSITIONING

Optical module = "irreplaceable bottleneck" of AI compute networks
Server integration = "structurally squeezed middle layer"
GM gap: **37.1 percentage points** and widening

2 GLOBALIZATION QUALITY

Innolight: 90.6% overseas with 34-35% GM = "high-quality going global"
Inspur: 29.7% with 7.8-11.2% GM = "tactical expansion"
Gap: **4-5x profitability** differential

3 ASSET QUALITY

Innolight: OCF 10.90Bn = 100.9% of net profit — cash validates earnings
Inspur: 46.5Bn inventory = 55.5% of assets — a "Damocles' sword"
Impairment risk: **97-193%** of annual profit

POSITION RECOMMENDATION

Position	Capital %	Target	Core Driver	Valuation	Expected Return
LONG Innolight	38.5%	1150 yuan	1.6T ramp + CPO + CSP capex	PEG 0.34 (Base)	+30%
SHORT Inspur	61.5%	38.5 yuan	Inventory impairment + margin compression	PS 0.28x (Base)	-48.5%

FINAL VERDICT

This is not a bet on AI demand — it is a bet on WHERE the AI dollar flows.
The money flows to optical networking. It does NOT flow to server assembly.

Appendix: Data Sources, Methodology & Disclaimers

DATA SOURCES

Primary Sources:

- Innolight 2024 Annual Report
- Innolight 2025 Annual Report
- Inspur 2024 Annual Report
- Inspur 2025 Annual Report

Industry Sources:

- Lightcounting Global Optical Transceiver Market Report 2024
- Hyperscaler earnings calls (AMZN, GOOGL, MSFT, META, NVDA)
- Industry news (OFC, ECOC, Computex coverage)

FINANCIAL MODEL

Innolight Valuation:

- PEG-based valuation, 3 scenarios
- 2026-2027 earnings projections
- WACC: 8.2% (Beta 1.2, debt 25%)

Inspur Valuation:

- P/S-based valuation, 3 scenarios
- Inventory impairment stress test
- WACC: 8.9% (Beta 1.4, debt 35%)

AI Module Methodology:

- LLM signal extraction from earnings calls
- Theme classification + exposure mapping
- Factor scoring with standardized weights

DISCLAIMER

This report is based on publicly available financial data for **academic research purposes only**. It does not constitute investment advice, an offer to sell, or a solicitation of an offer to buy any securities.

The analysis and opinions expressed herein are those of the author and do not reflect the views of UBS or any affiliated institution.

Past performance does not guarantee future results. All investments involve risk, including possible loss of principal.

The AI-assisted signal model is an experimental tool. Results should be manually reviewed and validated.

Data accuracy is based on company filings; the author makes no warranties regarding completeness or timeliness.

Thank You

Questions and discussion welcome

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